

Company Analysis Research Project

Procter & Gamble Co.

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Introduction: Company Overview & Leadership

Procter & Gamble (PG) is one of the world largest consumer packages goods companies, focused on providing branded household and personal care products to consumers across the globe. The company operates within the Consumer Staples sector and sells products in approximately 180 countries and territories through grocery stores, mass merchandisers, pharmacies, e-commerce platforms, specialty beauty stores, wholesalers, and direct-to-consumer channels. P&G operates through five major business segments including Beauty, Grooming, Health Care, Fabric & Home Care, and Baby, Feminine & Family Care. Major brands owned by the company include Tide, Pampers, Gillette, Crest, Oral-B, Olay, Pantene, Febreze, Downy, Gain, Always, and Head & Shoulders.

According to the Market Atlas Report of May 22, 2026, Procter & Gamble reported approximately $86.7 billion in trailing twelve-month revenue with a market value of roughly $336.6 billion. The company has approximately 109,000 employees globally and trades publicly on the New York Stock Exchange under the ticker symbol PG. The company's stock price on May 22, 2026 was $144.44 per share with a 52-week high and low between $169.89 and $138.04

Market Atlas also reports that the company is currently led by Chairman and CEO Jonathan R. Moeller, who originally joined Procter & Gamble in 1988 as a cost analyst. Over the course of his career at P&G, Moeller held several leadership positions in finance and operations before becoming Chief Financial Officer, Chief Operating Officer, and eventually Chairman and CEO. Other major executives include Shilesh G. Jejurikar (President), Andre Schulten (Chief Financial Officer), and Balaji Purushothaman (Chief Human Resource Officer). Procter & Gamble's executive leadership focuses heavily on innovation, operational efficiency, digital transformation, global expansion, and long-term shareholder value.

Org Charts:



Figure 1: Organizational Chart of Procter & Gamble Key Officer



Figure 2: Organizational Chart of Procter & Gamble Board of Directors

Competitive Industry Analysis

Economic Environment of Procter & Gamble Co.

Because Procter & Gamble operates within the consumer staples industry, demand for many of its products remains relatively stable even during periods of economic uncertainty. Products such as toothpaste, laundry detergent, diapers, paper goods, and cleaning supplies are considered essential household items, allowing the company to maintain relatively consistent sales even when consumer spending is weak.

Current economic indicators suggest the US economy is experiencing slower overall growth but still maintains a relatively stable labor market. According to the US Bureau of Labor Statistics, job openings remained steady at approximately 6.9 million in March 2026 while hires increased to 5.6 million, signaling that employment conditions remain relatively stable. At the same time, the national unemployment rate currently sits around 4.3% (Mergent Market Atlas). These factors are important for Procter & Gamble because stronger employment levels generally support consumer spending in household and personal care products.

However, macroeconomic conditions still significantly impact Procter & Gamble's profitability and stock performance. Rising inflation, higher transportation costs, supply chain disruptions continue to pressure production costs throughout the consumer packaged goods industry. In response, Procter & Gamble have implemented strategic price increases and productivity improvements.

Trends and Opportunities Affecting the Stock Price of Procter & Gamble Co.

A trend affecting Procter & Gamble is the growing demand for premium and sustainable consumer products. Consumers increasingly prefer environmentally conscious packaging, ethically sourced ingredients, and wellness-focused products. This creates opportunities for P&G to strengthen brand loyalty and expand product innovation.

Another important opportunity is digital commerce and AI-driven marketing. E-commerce platforms such as Amazon, Waltmart+, and direct-to-consumer shopping continue changing how consumers purchase household products.

Key Issues Impacting Procter & Gamble Co. and the Industry

One issue is the growing competition within the consumer packaged goods industry. Companies must continuously compete on pricing, innovation, advertising, and shelf space in major retailers. Inflation and high transportation costs also pressure profit margins.

Another challenge is changing consumer behavior. Many younger consumers increasingly favor niche, organic, eco-friendly over traditional legacy brands. To remain competitive, P&G must continue adapting through innovation, sustainability initiatives, and digital engagement strategies.

Supply chain disruptions, labor costs, and fluctuations in foreign currency exchange rates impact global profitability because P&G operates in numerous international markets.

Top Three Competitors for Procter & Gamble Co.

Procter & Gamble operates within the highly competitive consumer packaged goods (CPG) industry, competing with numerous multinational companies across personal care, household products, health care and hygiene categories. While many companies sell consumer products, the most comparable competitors are Unilever, Kimberly-Clark, and Colgate-Pamolive because they target similar consumer demographics, possess strong global brand portfolios, and compete directly with Procter & Gamble in several major product categories.

Unilever is one of Procter & Gamble's largest global competitors. The company owns well-known brands including Dove, Axe, Vaseline, Hellmann’s, and Tresemme, competing directly with P&G's beauty, grooming, and household care products. Like Procter & Gamble, Unilever operates in more than 190 countries and focuses heavily on brand recognition, innovation, and sustainability initiatives to drive consumer loyalty.

Kimberly-Clark competes primarily in baby care, paper products, and personal hygiene products. Its major brands include Higgies, Pull-Ups, Kleenex, Cottonelle, and Scott. Kimberly-Clark directly challenges Procter & Gamble's Pampers and Charmin brands, making it one of the company's most significant competitors in essential household product categories.

Colgate-Palmolive is a major competitor within oral care, personal care, and household cleaning products. The company owns brands such as Colgate, Palmolive, Softsoap, and Hill's Pet Nutrition. Colgate-Palmolive's dominant market position in toothpaste and oral health products places it in direct competition with P&G's Crest and Oral-B brands.

Although all three companies compete for market share within the consumer staples sector, each emphasizes different product categories and marketing strategies. Procter & Gamble differentiates itself through its broad portfolio of category-leading brands, extensive research and development investments, and global distribution network spanning approximately 180 countries. Its ability to maintain strong profitability, consistent dividend growth, and brand loyalty allows the company to remain one of the most dominant firms within the consumer packaged goods industry despite the competition.

Financial Analysis

Financial Ratios (Procter & Gamble)

Procter & Gamble Hygiene & Health Care Financial Ratios

Ratio Analysis - Interim (As Originally Reported)	Year 5	Year 4	Year 3	Year 2	Year 1
Currency	USD	USD	USD	USD	USD
Profitability					
Gross Margin	51.34	51.69	48.05	47.65	51.43
Operating Margin	23.32	21.76	22.1	22.21	22.93
Pretax Margin	23.93	22.32	22.38	22.44	23.14
Effective Tax Rate	20.34	20.19	19.7	17.79	18.52
Net Profit Margin	18.61	17.37	17.52	18.03	18.44
Normalized EBIT	20772	20289	18454	18062	18296
Normalized EBITDA	23619	23185	21168	20869	21031
EBITDA Margin %	26.7	25.2	25.4	25.7	27.2
Management Effectiveness					
Normalized Return on Equity % TTM	31.1	31.8	30.9	30.5	29.8
Normalized Return on Capital % TTM	21.8	22.2	21.6	21.6	21.3
Normalized Return on Assets % TTM	13.5	13.5	12.3	12.3	12.6
Financial Strength					
Total Current Assets less Inventory	17841	17693	15575	14729	17108
Quick Ratio	0.49	0.53	0.44	0.45	0.52
Current Ratio	0.7	0.73	0.63	0.65	0.7
Net Debt	26001	24048	27468	25387	22846
Long Term Debt / Equity %	50.2	50.2	52.1	49	49.8
Long Term Debt / Capital %	32.3	33.3	34.1	32.8	33.1
Net Debt / Equity %	29.7	31.4	34.5	33.6	27.6
Total Debt / Total Equity %	48.1	50.2	52.1	49	49.8
Total Debt / Total Capital %	32.3	33.3	34.1	32.8	33.1
Total Debt / Assets %	20	20.6	20.2	19.5	19.4
Interest Coverage	22.3	18.6	18.6	32.7	31.5
Financial Leverage Ratio	2.4	2.4	2.6	2.5	2.6

Efficiency					
Days Inventory (DOH)	67	63	60	60	59
Days Receivable (DSO)	27	27	24	23	23
Days Payable (DP)	136	138	125	129	135
Cash Cycle (DOH+DSO-DP)	-42	-48	-40	-45	-53
Asset Turnover TTM	0.673	0.687	0.679	0.684	0.638
Receivables Turnover TTM	13.6	13.7	15	15.6	16.1
Inventory Turnover TTM	5.4	5.8	6	6.1	6.2
Payables Turnover TTM	2.7	2.7	2.9	2.8	2.7
Sales / Inventory TTM	11.2	12	11.6	11.6	12.7
Sales / Working Capital TTM	0	0	0	0	0
Sales / Cash TTM	8.8	8.9	9.9	11.1	7.4
Sales / Fixed Assets TTM	3.5	3.8	3.7	3.8	3.5
Miscellaneous					
Free Cash Flow TTM	14044	16523	13786	13567	15584
Free Cash Flow Per Share TTM	5.72	6.68	5.55	5.34	5.99
Book Value Per Share	22.21	21.34	19.8	19.46	19.09
Tangible Book Value	-12325	-12861	-18484	-17633	-19058
Tangible Book Value per Share	-5.263	-5.457	-7.825	-7.366	-7.844

Table 1: P&G's financial ratios between 2021 and 2025. Comprehensive links to all financial data can be found below.

P&G Financial Ratios

P&G Balance Sheet

P&G Income Statement

P&G Cash Flow Statement

Financial Ratios - Competitor (Unilever)

Unilever Financial Ratios					
Ratio Analysis - Annual (As Originally Reported)	Year 5 (present)	Year 4	Year 3	Year 2	Year 1
Currency	USD	USD	USD	USD	USD
Profitability					
Gross Margin	46.95	45.05	42.24	40.23	42.3
Operating Margin	17.76	15.15	16.13	17.63	16.47
Pretax Margin	17.21	14.6	15.67	17.21	16.31
Effective Tax Rate	28.54	28.19	23.55	20.01	22.62
Net Profit Margin	11.23	9.45	10.88	12.72	11.53
Normalized EBIT	11844.1	11574.4	10960.7	10364.9	10956.2
Normalized EBITDA	13796.2	13393.6	12703.4	12411.6	12941.5
Financial Strength					
Total Current Assets less Inventory	15296.1	14512.8	14108.4	14157.4	14460.5
Quick Ratio	0.6	0.56	0.54	0.52	0.51
Current Ratio	0.79	0.76	0.76	0.75	0.7
Net Debt	28943.2	26819.2	28035.8	27398.6	31627.1
Long Term Debt / Equity %	0	100	100	100	100
Net Debt / Equity %	0	85.7	98.5	91.2	105.9
Total Debt / Assets %	0	30.7	31.5	29.4	30.1
Financial Leverage Ratio	4.5	4	4.2	4.1	4.4
Efficiency					
Asset Turnover TTM	0.746	0.762	0.792	0.772	0.698
Miscellaneous					
Free Cash Flow TTM	10694.255	7814.987	8477.402	5965.474	7540.655
Free Cash Flow Per Share TTM	4.9	3.55	3.81	2.65	3.31
Book Value Per Share	8.36	9.4	8.99	9.05	8.54
Tangible Book Value	-22591.2	-21650.7	-23579.1	-22979.9	-24427.5
Tangible Book Value per Share	-10.358	-9.829	-10.609	-10.21	-10.731

Table 2: Unilever's financial ratios between 2021 and 2025. Comprehensive links to all financial data can be found below.

[UL Financial Ratios]

[UL Balance Sheet]

[UL Income Statement]

[UL Cash Flow Statement]

Financial Ratio Analysis

Beginning with profitability, P&G has a steady gross margin that hovers between 48-52%. Comparatively, Unilever's gross margin is slightly lower, sitting within the range of 41-47%. This indicates that P&G receives higher revenue per dollar spent on costs. Additionally, P&G's higher net profit margin indicates that the firm is superior in pricing and cost control. This gives the P&G a competitive advantage over opposing firms, such as Unilever.

In terms of management effectiveness, P&G has high financial ratios that indicate strong decision-making within the firm. Although Unilever does not provide ratios, they can be calculated using formulas from the balance sheet and income statement. From 2025, P&G had a ROA of 13.50% in comparison to Unilever's 13.43%, signalling that P&G more effectively uses its assets to generate profit. Unilever dominated P&G in terms of ROE, as P&G had a Return on Equity of 31.10% and Unilever was at 60.96%. Finally, P&G's higher Return on Capital of 21.80% in comparison to Unilever's 13.71% indicates a better ability to generate profit off of capital.

In determining financial strength, both P&G and Unilever having a quick ratio and current ratio of under 1.0 signals that they could have short-term liquidity issues. When examining overall firm efficiency, Unilever provides limited data for its efficiency information. However, P&G's Days Inventory Outstanding, Days Receivable Outstanding, and Days Payable Outstanding indicate efficient turnover of inventory. Unilever has a slightly higher Asset Turnover Ratio, meaning that the firm is slightly stronger at leveraging its assets to drive sales, but P&G still remains dominant in the other efficiency ratios.

Lastly, P&G has had an increase in book value per share year-over-year, indicating steady growth of share price. Conversely, Unilever has remained at a book value per share of around $9.00 for the previous five years. This indicates that P&G has had an increase of net asset value per share over the last five years, whereas Unilever has remained constant.

Financial Analysis

P&G has had steady but not significant year-to-year growth of revenues, sitting at ~$76 billion in 2021 and increasing over time to ~$84 billion in 2025. Unilever experienced sharp growth from 2021 to 2023, seeing an increase in revenue from ~$59 billion to ~$66 billion. However, revenues dropped off in the following two years, stabilizing back in ~$59 billion in the most recent financial report. Both firms experienced relatively level total and fixed assets, without any large growths or decreases. P&G's total assets sit higher than Unilever's, around ~$120 billion ~$83 billion, respectively. There is no evidence that P&G divested any of their segments in the past five years, with relatively stable revenue and asset value. Unilever had a sharp decrease in asset value by ~$3 billion in 2025, indicating that they divested. Upon research, they turned their ice cream business segment into a different corporation in 2025. P&G's equity experienced steady growth over the five year period, and total liabilities remained stable. Unilever had slightly more volatile equity and liabilities, with a major decline in equity between 2024 and 2025 as well as a major increase in liabilities between 2024 and 2025. P&G repurchased shares over the five year period, as their total shares outstanding decreased. Unilever also repurchased shares, but at a slightly lower rate. P&G's long-term debt held stable over the period, as did its debt-to-assets and debt-to-equity ratios. Unilever's long-term debt increased over the period, leading to sharp increases in the debt-to-assets and debt-to equity ratios. Finally,

P&G's retained earnings show increased growth over time, allowing them to maintain positive financial standing. Unilever's retained earnings held at negative values, reflected by their increase in debt, and their desire to continue investing money back into capital.

Procter & Gamble already demonstrates superiority for nearly every financial ratio in comparison to Unilever, its biggest competitor. However, to fully dominate the industry, P&G could capitalize on its higher gross margin and net profit margin by producing more and therefore increasing net income. Additionally, it could begin to invest in emerging markets, such as artificial intelligence, and even begin to use AI for automation of processes such as manufacturing. As highlighted above, the strengths of the firm include its high gross margin, high profit margin, revenue stream growth, and high Return on Assets and Return on Capital. The weaknesses of the firm include its limited liquidity and its low Return on Equity in comparison to its competitors.

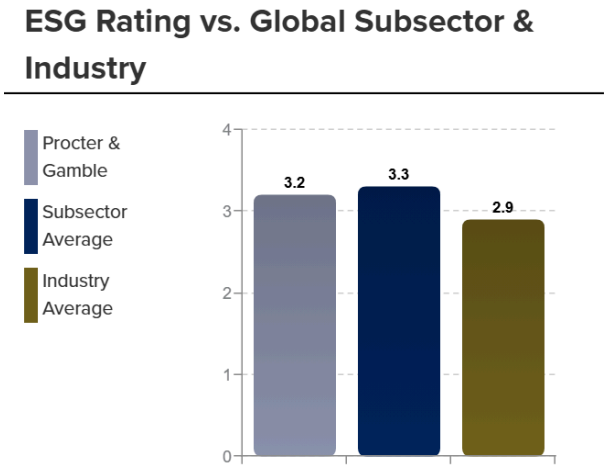
Qualitative Factors

When examining P&G's qualitative factors, it is important to look at a comprehensive picture of the firm. The company's revenues are not tied to one key customer, as they are a global firm that sells through numerous retailers to millions of people. P&G is also not revenue-tied to one key product, as the firm has many subsidiaries across the world that sell multitudes of separate products. The company's revenues do have products that are more popular and perform better, such as Tide, Gillette, and Pampers, however they are not tied to one specific product. As P&G operates globally, it doesn't rely on a single supplier. Conversely, the firm has a large network of suppliers across the globe and a diversified supply chain. Around 51% of the company's business is generated overseas, however P&G operates primarily in the United States with its headquarters residing in Ohio. Additionally, P&G faces strong competition from American and British firms in similar industries such as Unilever, Colgate, and Johnson & Johnson. As a leader of the Consumer Packaged Goods (CPG) industry and the Fabrics and Home Care industry, it is vital that P&G must continually invest in research and development in order to retain its industry leverage. Lastly, due to large amounts of manufacturing, changes in environmental laws and regulations could have a massive impact on the firm. This could affect manufacturing costs, supply chain networks, and overall operations.

Sustainability ESG

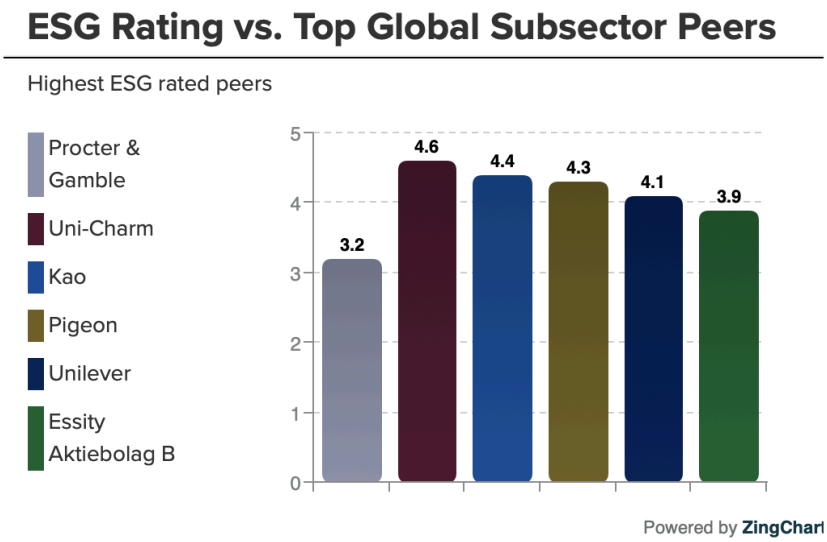
Environmental, Social, and Governance (ESG) ratings are used by investors to evaluate how effectively a company manages sustainability, ethical practices, and corporate accountability. According to Mergent Market Atlas, Procter & Gamble currently holds an ESG rating of 3.2 on a 0–5 scale, indicating above-average performance in managing ESG-related

issues. While the company's rating exceeds the Consumer Staples industry average of 2.9, it falls slightly below the Personal Products subsector average of 3.3 (Mergent Market Atlas, 2025).



P&G's ESG performance has remained relatively stable over the past several years. The company's ESG rating reached a high of 3.8 in 2020 before declining to 3.2 in 2021. Since then, the rating has remained consistent, fluctuating between 3.2 and 3.3 from 2021 through 2025. This stability suggests that Procter & Gamble has maintained consistent sustainability and governance practices while continuing to address environmental and social challenges.

Among all companies evaluated by Mergent Market Atlas, Procter & Gamble ranks in the 40th percentile, indicating that its ESG performance is stronger than many firms but remains below the highest-rated companies in its industry. When compared with top global peers in the Personal Products subsector, P&G trails several competitors. Uni-Charm holds the highest ESG rating at 4.6, followed by Kao at 4.4, Unilever at 4.1, and Essity Aktiebolag at 3.9. With a rating of 3.2, Procter & Gamble remains competitive but has opportunities to improve its sustainability performance to better align with leading companies in the industry.



Overall, P&G demonstrates a solid commitment to ESG principles through stable long-term performance and ratings that exceed the industry average. However, the company may need to strengthen certain sustainability initiatives in order to close the gap between itself and the highest-rated firms within the global personal products sector.

Stock performance analysis:

Beta Coefficient Analysis

Before examining actual beta values, the expectation is that all four consumer staples companies would register betas well below 1.0. Consumer staples firms sell essential, non-discretionary goods like detergent, diapers, shampoo, toothpaste. These goods whose demand is large and does not differ from economic cycles. Consumers continue purchasing these products during recessions or market downturns. Among the four companies, Procter & Gamble would be expected to have among the lowest betas owing to its extraordinary scale, geographic diversification across 70+ markets, and portfolio spanning 20+ billion-dollar brands. Its size and consistency tend to dampen relative market sensitivity further.

P&G's beta of 0.41 confirms its status as a low-volatility, defensive holding. Its returns move in the same direction as the broader market but at roughly 41% of the magnitude. Colgate-Palmolive's beta of 0.34 was the most surprising result because it is actually lower than P&G's, reflecting Colgate's concentrated and stable oral-care franchise. Kimberly-Clark's 0.44 and Unilever's 0.50 are both still well below market, though Unilever's higher figure likely reflects its multinational complexity, emerging-market exposure, and recent business restructuring activity including the December 2025 ice cream segment demerger, all of which inject incremental systematic risk relative to the more domestically anchored peers.

52-Week Return; Market Performance

P&G has meaningfully underperformed both the S&P 500 (+28.22%) and the Russell 1000 (~+26%) over the past 52 weeks, declining roughly 10–12% on a total return basis. This underperformance is significant; it mirrors the trajectory of consumer staples as an entire sector, which itself lost approximately 1–2% over the same window, lagging behind a market that is energized by technology and growth stocks.

Colgate-Palmolive also declined, posting approximately –12.5% YTD as of late 2025, which was caused by elevated input costs and tariff headwinds of roughly $75 million. Kimberly-Clark was by far the worst performer among peers, declining nearly 30% from its 52-week high of $141 as it undertakes a sweeping transformation initiative involving large-scale restructuring and the exit of its U.S. private-label diaper business. Unilever was the standout outlier, gaining approximately +15.8% as investors rewarded its strategic portfolio simplification, including the ice cream demerger and strengthened underlying operating margin of 20.0%.

The common thread pulling P&G and other competitors lower is a combination of macro pressures like a projected $1 billion tariff in fiscal 2026, persistent commodity inflation, consumer trade-down toward private-label alternatives, and currency headwinds in key international markets. P&G itself lowered its annual EPS range from $6.91–$7.05 to $6.72–$6.82 following Q3 FY2025 results. At the same time, P&G's performance was stronger than both Colgate and Kimberly-Clark, reflecting the resilience of its diversified category exposure and its premium brand positioning.

Industry Risk Factors

The consumer packaged goods (CPG) industry faces a set of structural risks that P&G shares with its competitors. The first and most immediate is tariff exposure. P&G estimates approximately $1–1.5 billion in annual pre-tax cost increases from the U.S.-China trade measures and Canadian export duties. While around 90% of what P&G sells in the U.S. is manufactured domestically this limits direct import exposure but retaliatory tariffs on exports and higher material costs for packaging remain significant.

Currency risk is another key industry-wide challenge. P&G generates over half its sales outside the United States, and persistent dollar strength erodes reported revenue and earnings. The restructuring of operations in Argentina and Nigeria in FY2024–2025 resulted in an $801 million after-tax charge largely from accumulated foreign currency translation losses..

Private-label competition is a third shared risk, intensifying as consumers experiencing price fatigue shift toward store-brand alternatives at Walmart, Target, and Amazon. P&G responds by competing across price ladders with value-tier innovations like even though this pressures margins. Fourth, commodity inflation remains volatile and difficult to fully offset with pricing without accelerating trade-down behavior.

P&G's primary company-specific risk is its premium positioning: it operates at a 20.75x forward P/E, meaningfully above its peers, meaning that any earnings miss carries outsized valuation risk. The company's global scale also means that geopolitical disruptions in China (where its business declined 15% in Q1 FY2026, before partially recovering), Europe, or emerging markets translate directly into earnings volatility. These risks are closely reflected in P&G's beta: at 0.41, the stock moves with the market but at less than half its amplitude. The low beta is itself evidence that these risks are company and sector specific rather than broadly market-correlated.

Significant Capital Projects

P&G has maintained annual capital expenditures of approximately $2.2–$2.5 billion across fiscal years 2023 through 2025, focused primarily on three categories: capacity expansion at existing manufacturing facilities, supply chain modernization, and strategic market exits.

On capacity expansion, P&G announced a $96.7 million investment to install advanced production lines at its fabric care manufacturing facility, increasing production capacity while retaining 572 jobs and creating 15 more. Separately, it invested $180 million to construct a new warehouse at its north St. Louis riverfront campus, creating approximately 100 jobs. At a larger scale, P&G acquired 430 acres at Inland Port Arizona for $53 million to develop a 2-million-square-foot manufacturing and distribution complex with 500 projected jobs, a long-horizon capacity investment in a strategic location next to a major railway and highway.

A $205 million logistics facility investment was also disclosed, consistent with P&G's stated objective of generating $1.5 billion in annual logistics cost savings through supply chain optimization. On the restructuring side, P&G launched a $1–1.6 billion program in FY2024–2025 targeting the elimination of approximately 7,000 non-manufacturing roles and the exit from underperforming or structurally challenged markets including Argentina and Nigeria. In FY2024, the company took a $1.3 billion non-cash impairment charge against the Gillette indefinite-lived intangible asset, driven by a higher discount rate and currency devaluations in affected markets.

P&G does not publicly disclose its specific capital budgeting methods. However, given its scale, sophisticated finance function, and shareholder-return orientation, it is highly probable that Net Present Value(NPV) and Internal Rate of Return (IRR) serve as the primary frameworks. NPV is the superior method because it directly measures value creation by discounting future free cash flows against P&G's weighted average cost of capital (WACC). IRR complements NPV by showing project returns as a yield comparable to the cost of capital, and Payback Period likely serves as a secondary screen for liquidity and risk management. The consistent Return on Invested Capital (ROIC) improvement from 12.65% in FY2020 to approximately 16.57% by FY2025 suggests disciplined capital allocation aligned with value-maximizing principles.

How P&G Finances Its Operations

P&G employs a balanced, investment-grade capital structure with a moderate reliance on long-term debt, very limited preferred equity, and a large common equity base anchored by decades of retained earnings. P&G's total debt stands at approximately $35.6 billion, with a debt-to-equity ratio of approximately 68% in absolute terms but well-managed given P&G's EBIT of $21.6 billion and an interest coverage ratio of 49.3x, reflecting extraordinary debt service capacity. The company's debt-to-equity ratio has actually improved from 74.1% five years ago as the balance sheet has strengthened. Long-term debt consists primarily of investment-grade senior notes issued across global capital markets, providing P&G with access to low-cost financing. Preferred stock is represented entirely by a small ESOP (Employee Stock Ownership Plan) of approximately $788 million.

Operating cash flow is the primary engine of P&G's financial model, generating sufficient free cash flow to fund both capital expenditures and shareholder returns simultaneously. In FY2025, P&G returned $16 billion to shareholders through dividends and buybacks. It has increased its dividend for 69 consecutive years with an annualized dividend of $4.26 per share and a forward yield of approximately 2.9%. This reflects a payout ratio of approximately 61%, balanced against ongoing investment in operations and debt service.

Conclusion

P&G is a global leader in consumer staples, with operations in roughly 180 countries, a portfolio of trusted daily-use brands, strong cash generation, and a defensive stock profile. Compared with Unilever, P&G shows stronger profitability, more stable revenue growth, better margin performance, and more consistent shareholder value creation. Its low beta of 0.41 confirms that the stock is less volatile than the broader market, making it attractive for a mutual fund seeking stability, income, and downside protection.

In addition to its stronger financial position, Procter & Gamble's low beta of 0.41 supports its role as a defensive investment. Because P&G operates in the consumer staples industry, demand for many of its products remains stable even during economic downturns. Consumers continue purchasing essential items such as detergent, diapers, toothpaste, shampoo and cleaning supplies regardless of broader market conditions. This is why P&G's stock is less volatile than the overall market. The company also demonstrates a solid commitment to sustainability, with an ESG rating of 3.2, which is above the broader Consumer Staples industry average. Although P&G trails some top ESG-rated peers, its stable rating history suggests consistently for their practices.

P&G's capital investments and financing strategy further strengthen its long-term outlook. The company has continued investing in manufacturing capacity, warehouse expansion,

logistics improvements, and supply chain modernization. all of which support efficiency and future growth. P&G also benefits from strong operating cash flow, which allows it to fund capital projects while returning value to shareholders through dividends and stock repurchases. Overall, while P&G faces risks from inflation, tariffs, foreign exchange changes, and private-label competition, its strong brands, global diversification, low volatility, disciplined investing, and stable financial position make it a strong long-term recommendation. Compared to Unilever, P&G appears more financially consistent and in a better position as a reliable defensive stock for a mutual fund portfolio.

Due to a mixture of the financial and qualitative factors outlined above, we recommend buying P&G stock and holding as a long-term investment. The low volatility of the firm's share price, as highlighted by a beta of 0.41, shows that the firm is less at-risk to systematic, market-wide risk. Additionally, the firm's long-standing dominance in the CPG industry shows its reliability as a leader amongst American firms. P&G's strong financial ratios in comparison to its biggest competitor Unilever shows the firm's ability to continue meaningful investments and operations over time, which in turn benefits shareholders.

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Acknowledgement of AI Use

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